

**SUBSTITUTE FOR
HOUSE BILL NO. 5770**

A bill to regulate the use of facility fees by certain health care providers; and to provide remedies.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 1. As used in this act:

2 (a) "Ambulatory surgical center" means a distinct entity
3 certified by the Centers for Medicare and Medicaid Services as an
4 ambulatory surgical center under 42 CFR part 416 that operates
5 exclusively for the purpose of providing a surgical service to a
6 patient who does not require hospitalization.

7 (b) "Emergency room" means a specialized area in which
8 immediate medical evaluation, treatment, and stabilization is
9 provided to a patient with an acute illness or an injury that may
10 be life threatening, limb threatening, or time critical.



(c) "Facility fee" means a fee that meets all of the following:

(i) The fee is charged or billed by a health care provider.

(ii) The fee is intended to compensate the health care provider for the operational expenses of the health care provider.

(iii) The fee is separate and distinct from a professional fee.

(d) "Freestanding emergency facility" means an emergency room that is not physically connected to a hospital and that performs laboratory tests, ultrasounds, computerized tomography scans, and other tests and procedures that are performed in an emergency room of a hospital.

(e) "Health care provider" means a health facility or a health professional.

(f) "Health facility" means a health facility or agency as that term is defined in section 20106 of the public health code, 1978 PA 368, MCL 333.20106, or any other entity that provides health care to patients, including, but not limited to, a health system, a hospital-based facility, a freestanding emergency facility, or an urgent care clinic.

(g) "Health professional" means an individual who is licensed, registered, or authorized to engage in a health profession under article 15 of the public health code, 1978 PA 368, MCL 333.16101 to 333.18838, but not including a dentist, dental hygienist, or dental assistant under part 166 of the public health code, 1978 PA 368, MCL 333.16601 to 16659, or a veterinarian or veterinary technician under part 188 of the public health code, 1978 PA 368, MCL 333.18801 to 18838.

(h) "Health system" means any of the following:

(i) A parent corporation of 1 or more hospitals.



1 (ii) An entity affiliated with a parent corporation of 1 or
2 more hospitals through ownership, governance, membership, or other
3 means.

4 (iii) A hospital and an entity affiliated with the hospital.

5 (i) "Hospital" means a hospital licensed under article 17 of
6 the public health code, 1978 PA 368, MCL 333.20101 to 333.22260.

7 (j) "Hospital-based facility" means a facility that meets both
8 of the following requirements:

9 (i) The facility is owned or operated, in whole or in part, by
10 a hospital.

11 (ii) A hospital service or professional medical service is
12 provided in the facility.

13 (k) "Hospital's campus" means any of the following:

14 (i) The physical area that is immediately adjacent to a
15 hospital's main building and any other area or structure that is
16 not strictly contiguous to the hospital's main building but is
17 located within 250 yards of the main building.

18 (ii) An area that the Centers for Medicare and Medicaid
19 Services has determined, on an individual basis, to be part of the
20 campus of a hospital.

21 (l) "Observation" means a service furnished by a hospital on
22 the hospital's campus that includes, regardless of length of stay,
23 the use of a bed and periodic monitoring by the hospital's staff,
24 to evaluate an outpatient's condition or to determine the need to
25 admit an individual to the hospital as an inpatient.

26 (m) "Professional fee" means a fee that is charged or billed
27 for a professional medical service provided by a health
28 professional.

29 (n) "Telemedicine" means that term as defined in section 3476



1 of the insurance code of 1956, 1956 PA 218, MCL 500.3476.

2 Sec. 3. (1) Beginning January 1, 2027, and except as otherwise
3 provided under subsection (2), a health care provider shall not
4 charge, bill, or collect a facility fee for any of the following:

5 (a) A professional medical service provided through
6 telemedicine.

7 (b) A professional medical service that is provided to a
8 patient in a facility that is not a hospital.

9 (c) A professional medical service that is provided to a
10 patient who is receiving an outpatient service in a hospital,
11 unless either of the following applies:

12 (i) The outpatient service is provided in an emergency room of
13 the hospital.

14 (ii) The outpatient service is observation.

15 (2) Subsection (1) does not apply to a health care provider
16 that provides a professional medical service to a patient in a
17 facility that is an ambulatory surgical center.

18 Sec. 4. Both of the following apply to a health care provider
19 that charges, bills, or collects a facility fee under this act:

20 (a) The health care provider shall identify the fee as a
21 facility fee on the billing statement.

22 (b) The health care provider shall inform the patient before
23 the professional medical service is provided that the patient will
24 be charged a facility fee and the amount of the facility fee.

25 Sec. 5. (1) A person aggrieved by a violation of section 3 or
26 4 may bring a civil action for damages against the health care
27 provider.

28 (2) A court shall award reasonable costs and attorney fees to
29 a plaintiff who prevails in an action brought under this section.



1 Sec. 7. (1) This act does not prohibit an insurer as that term
2 as defined in section 106 of the insurance code of 1956, 1956 PA
3 218, MCL 500.106, from entering into an agreement with a health
4 care provider for the payment of a fee or cost considered to be
5 appropriate.

6 (2) This act does not prohibit charging and reimbursing a
7 facility fee under Medicare.